



The Influence of Bank Health Levels on Share Prices in Conventional General Banking Listed on the Indonesian Stock Exchange for the Period 2019 – 2022

Richad Alamsyah^{1*}, Wulan Wahyuni RP², Nilda Tartilla³

Institut Bisnis dan Informatika Kesatuan

Corresponding Author: Richad Alamsyah alamsyahrichard@gmail.com

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ABSTRACT

This research purpose is to analyze the impact of bank soundness on stock price both simultaneously and partially. This research conducted on several indicators which represented by each ratio. There are risk profile represented by Non Performing Loan (NPL), earning represented by Return on Asset (ROA), and capital represented by Capital Adequacy Ratio (CAR). The population was conventional banking companies listed on Indonesia Stock Exchange during 2019-2022. Sampling method used in this research was purposive sampling and obtained 36 banking companies as a sample. This research using quantitative method. Analysis technique used in this reseach was multiple linier regression. The result shows that simultaneously NPL, ROA, CAR have significant effect on stock price. Partially there was a significant and positive effect between ROA and stock price. However, Partially there was a significant and Negative effect between NPL, CAR and stock price

INTRODUCTION

As the performance of the banking industry has improved after going through the Covid-19 pandemic, economic activity has gradually recovered. The domestic economic recovery is also recorded in the banking industry performance indicators as seen in the fairly solid capital level with a CAR of 25.63% and in terms of credit risk it appears to be improving with the Gross NPL and Net NPL ratios decreasing to 2.44% and 0 respectively. .71%. In general, the banking industry is gradually recovering, but it cannot be denied that there are several banks that are still experiencing difficulties in terms of their health level. Bank health assessment is an activity that needs to be assessed , so that the level of banking health is regulated through Financial Services Authority Regulation No. 4/POJK.03/2016 article 2 which requires banks to maintain and/or improve the level of bank soundness by applying the principles of prudence and risk management in carrying out business activities. Meanwhile, according to Financial Services Authority Regulation no. 4/POJK.03/2016 article 3 Bank health level assessments are carried out individually (self assessment) or conditionally carried out at the end of June and the end of December, and banks are required to deposit the results of their own assessments to the OJK to avoid discrepancies in the results of the assessments carried out by OJK this is in accordance with Financial Services Authority Circular Letter no. 14/SEOJK.03/2017 This statement emphasizes that banks are required to maintain their health level in order to increase performance as well as profits and gain the trust of customers who have funds. This is very important in maintaining the development and strengthening of the financial sector (P2SK), especially the banking industry, which is based on managing public funds. OJK as the regulator has an important role in improving the supervisory function and mitigating risks on an ongoing basis in accordance with the objectives of Law Number 4 of 2023.

In this research, a risk-based approach in measuring the implications of the level of soundness uses several factors including: 1) The risk profile consists of credit risk which has an impact on NPL because it is directly related to the management of non-performing loans which affects banking profits and share prices, 2) Profitability in this research it is linked to the ROA ratio because it shows the effectiveness of a company in increasing company profits and dividends by using banking assets. 3) Capital is usually measured by CAR to describe the capital management of a bank to achieve banking goals, namely increasing profits which has an impact on its share price .

Identification of Problems :

1. Do Non-Performing Loans (NPL) Affect Share Prices?
2. Does Return On Assets (ROA) Affect Share Prices?
3. Does the Capital Adequacy Ratio (CAR) have an influence on share prices?
4. Do NPL, ROA, and CAR simultaneously influence stock prices?

LITERATURE REVIEW

Stock price

The share price is the present value or *present value* of the cash flow that is expected to be received. Share prices are formed from market mechanisms, namely market demand and supply. R. Agus Sartono (2005)

Return On Assets (ROA)

Return on Assets (ROA) is an indicator of a bank's ability to earn a profit on a number of assets owned by the bank. ROA can be obtained by calculating the ratio between net profit after tax and total assets (Mandagie et al., 2014: 998)

$$ROA = \frac{\text{Profit Before Tax}}{\text{Average Total Assets}} \times 100\%$$

Non Performing Loans (NPL)

Non-Performing Loans (NPL) are loans that experience difficulties in repayment or can also be said to be problematic or bad credit (Yuliyanti, 2017:43)

$$NPL = \frac{\text{Non-Performing Credit}}{\text{Total Credit}} \times 100\%$$

Capital Adequacy Ratio (CAR)

Capital Adequacy Ratio (CAR) is The level of success of a financial performance can be seen from the size of the company's capital. (Fahlevi, Asmapane, & Oktavianti, 2018:40)

$$CAR = \frac{\text{Core Capital} + \text{Supplementary}}{\text{Risk Weighted Assets (RWA)}} \times 100\%$$

Framework

This research aims to determine the level of bank health as proxied by the variables Return On Assets (ROA), Non-Performing Loans (NPL), and Capital Adequacy Ratio (CAR) on share prices in banks listed on the IDX for the 2019-2022 period

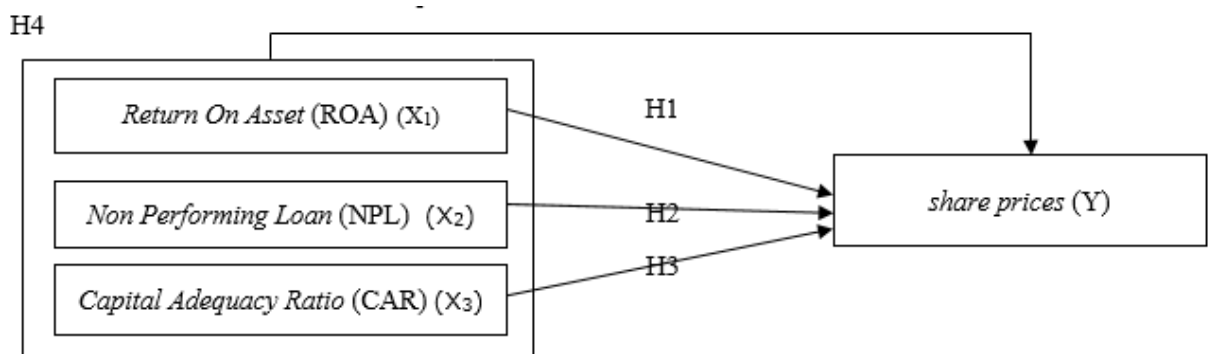


Figure 1. Framework

Research Hypothesis

1. The Effect of *Return on Assets* on Stock Prices

ROA is a ratio that shows the return on the number of assets used in the company. This ratio can also be used as a reference for projecting future profits. The higher the ROA value, the higher the profits generated and the dividends received by investors will also increase. Increasing high dividends can become a magnet for investors to buy shares, thereby increasing share prices. Based on the explanation above, a hypothesis can be made as follows:

H2: *Return On Assets* influences share prices

2. The Effect of *Non-Performing Loans* on Stock Prices

NPL is credit in which obstacles occur as a result of two elements, namely from the banking side in analyzing it and from the customer who intentionally or unintentionally does not pay their obligations. A high NPL level will result in a decrease in profits received by banks. On the other hand, if the NPL value is low, it indicates that the bank is in good condition, which can trigger high share prices. Based on the explanation above, the hypothesis created is as follows:

H1: *Non-Performing Loans* affect stock prices

3. The Effect of *Capital Adequacy Ratio* on Stock Prices

CAR is a ratio used to measure the level of banking health through the adequacy of capital used to operate its business. The higher the CAR value, the company's profits can increase, with this investors feel assured in making investment decisions which can later increase the value of the company's shares in the form of an increase in share prices (Indiani, 2016). Based on the explanation above, a hypothesis can be made as follows:

H3: *Capital Adequacy Ratio* influences share prices

4. The Influence of the Bank's Health Level Which is Proxied Into NPL, ROA and CAR has a Simultaneous Effect on Share Prices

According to (Budisantoso, 2014) states that bank health is an important element in banking, a bank in healthy condition is a bank that is able to run its business optimally, so that it can carry out its duties and responsibilities significantly. Healthy banks tend to have a great opportunity to gain investors' trust to make investments. The large demand for shares can trigger an increase in share prices. From this explanation, the following hypothesis can be made:

H4: NPL, ROA, and CAR simultaneously influence share prices

METHODOLOGY

The research method used in this research is the descriptive method. According to Sugiyono (2012: 29), the descriptive method is a method used to describe and analyze research results but is not used to make broader conclusions. The data source in this research is secondary data from conventional banking sub-sector companies for the period 2019 - 2022 which are listed on the Indonesia Stock Exchange (BEI) with a total of 36 banks.

As a prerequisite before analyzing this data, a normality test was carried out using the Kolmogorov-Smirnov Test. Data analysis used SPSS 25 software. This research used multiple linear regression

The regression equation for this research is as follows:

$$Y = \alpha + \beta_1 ROA + \beta_2 NPL + \beta_3 CAR + \varepsilon$$

Information :

Y : Share Price (Closing Price)

α : Constant

$\beta_1 - \beta_6$: Multiple regression coefficient

ROA : Return On Assets

NPL : Non Performing Loan

CAR : Capital Adequacy Ratio

ε : Standard error, namely the level of presumptive error in research

Table 1. Variable Operational Table

No	Variable	Draft	Indicator	Scale
1	Y variable Stock price	present value or <i>present value</i> of the cash flows expected to be received	Closing Share Price as of December 31	Nominal
2	Variable X ₁ ROA	an indicator of banking ability to earn a profit on a number of assets owned by the bank	$\frac{\text{Profit Before Tax}}{\text{Average Total Assets}} \times 100\%$	Ratio
3.	Variable X ₂ NPLs	problematic or bad credit	$\frac{\text{Problematic credit}}{\text{Total Credit}} \times 100\%$	Ratio
4.	Variable X ₃ CAR	The level of success of a financial performance can be seen from the size of the company's capital	$\frac{\text{Core Capital} + \text{Supplement}}{\text{RWA}} \times 100\%$	Ratio

RESULTS

Classic Assumption Test Results

1. Normality Test

The normality test used in this research is the Kolmogorov-Smirnov Monte Carlo Test, namely:

Table 2. One-Sample Kolmogorov-Smirnov Test

		Unstandardized Residuals
N		144
Normal Parameters ^{a, b}	Mean	.0000000
	Std. Deviation	1.14717488
Most Extreme Differences	Absolute	.045
	Positive	.036
	Negative	-.045
Statistical Tests		.045
Asymp. Sig. (2-tailed)		.200 ^{c, d}

a. Test distribution is Normal.

b. Calculated from data.

c. Lilliefors Significance Correction.

d. This is a lower bound of the true significance.

Based on the table above, the result is 0.200, so it can be concluded that the research data does not have residuals or is normally distributed because the value is > 0.05

2. Multicollinearity Test

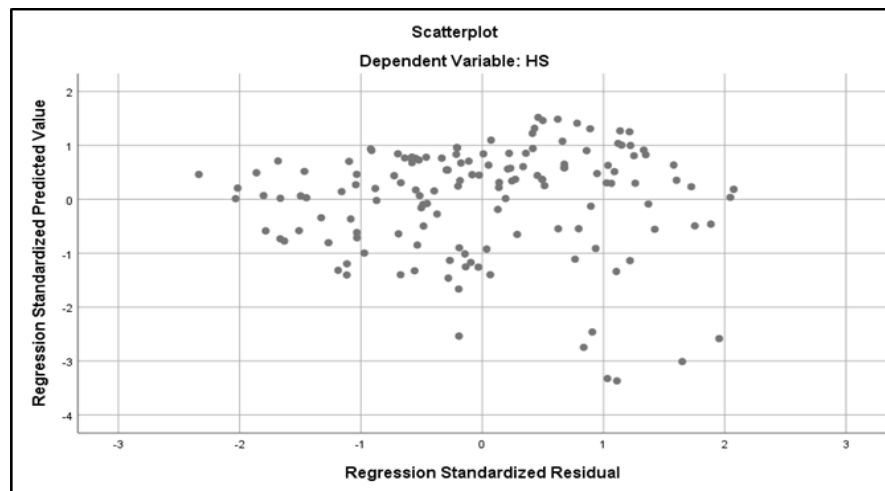
If you look at the VIF value table for all variable VIF values below 10 and tolerance values above 0.1, it can be concluded that these variables do not have multicollinearity.

Table 3. Coefficients a

Model	Unstandardized Coefficients		Standardized Coefficients	t	Sig.	Collinearity Statistics	
	B	Std. Error	Beta			Tolerance	VIF
1 (Constant)	7.381	.300		24.595	.000		
ROA	.030	.006	.396	5.276	.000	.753	1.328
NPL	-.038	.008	-.346	-4.486	.000	.716	1.398
CAR	-.001	.001	-.140	-2.077	.040	.940	1.064

a. Dependent Variable: HS

Figure 2. Heteroscedasticity Test



If you look at the graph above, there is a distribution of points and no particular pattern is formed, it can be concluded that heteroscedasticity does not occur.

4. Autocorrelation Test

Table 4. Model Summary b

Model	R	R Square	Change Statistics		Durbin-Watson	
			df1	df2	Sig. F Change	
1	.637 ^a	.405	3	140	.000	2,127

a. Predictors: (Constant), CAR, ROA, NPL

b. Dependent Variable: HS

If you look at the table above, the DW value is 2.127. The DU value for data is 144 and variable 3 is 1.7704 and the 4 - du value is $(4 - 1.7704 = 2.2296)$. And result $4 - dw = 1.873$. So it can be concluded that $(4 - dw) > du$ so there is no autocorrelation.

Linear Regression Analysis

Table 5. Coefficients^a

Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		B	Std. Error	Beta		
1	(Constant)	7.381	.300		24.595	.000
	ROA	.030	.006	.396	5.276	.000
	NPL	-.038	.008	-.346	-4.486	.000
	CAR	-.001	.001	-.140	-2.077	.040

a. Dependent Variable: HS

Based on the table above , it can be presented in the regression equation as follows:

$$Y = 7,381 + 0.030 \text{ ROA} - 0.038 \text{ NPL} - 0.001 \text{ CAR} + \varepsilon$$

It can be concluded as follows:

1. A constant of 7.381 means that if the values $X_1, X_2, X_3 = 0$ or ROA , NPL and the CAR is 0, then the variable value or share price is 7,381
2. ROA coefficient value is 0.030, meaning that there is a straight comparison between variables X and Y, that is, if ROA increases , the share price will also increase.
3. NPL coefficient value is -0.038, meaning that there is an inverse comparison between variables X and Y, that is, if the NPL increases, the share price will decrease.
4. CAR coefficient value is -0.001, meaning that there is an inverse comparison between variables X and Y, that is, if CAR increases, share prices will decrease.

TEST T

Based on the table above, it can be concluded:

1. ROA

If you look at the Sig ROA value, it is 0.000, while the standard set is 0.05. So it states that ROA has an effect on share prices, likewise if we look at the calculated t value of 5.276, it is greater than the t table of 1.6555. The standard set is $t_{count} > t_{table}$.

Table 6. Coefficients a

Model	Unstandardized Coefficients		Standardized Coefficients	t	Sig.
	B	Std. Error	Beta		
1 (Constant)	7.381	.300		24.595	.000
ROA	.030	.006	.396	5.276	.000
NPL	-.038	.008	-.346	-4.486	.000
CAR	-.001	.001	-.140	-2.077	.040

a. Dependent Variable: HS

2. NPLs

If you look at the Sig NPL value, it is 0.000, smaller than 0.05. And the calculated t is -4.486 > from the t table of 1.6555. So NPL has an effect on share prices.

3. CAR

If you look at the Sig CAR value, it is 0.040, which is smaller than the standard set at 0.05. Meanwhile, the calculated t of 2.077 is greater than the t table of 1.6555 , so CAR has an effect on stock prices.

Table 7. F TEST

Model		Sum of Squares	df	Mean Square	F	Sig.
1	Regression	128,223	3	42,741	31,796	,000 ^b
	Residual	188,189	140	1,344		
	Total	316,413	143			

a. Dependent Variable: HS

b. Predictors: (Constant), CAR, ROA, NPL

If you look at the table above, you can see that the calculated F is 31.796 , while the F table is . This means that F count > F table, so it can be concluded that variable X simultaneously or together influences variable Y, namely the bank health variable (ROA, NPL, CAR) simultaneous effect on stock prices .

DISCUSSION

1. The Effect of Return on Assets (ROA) on Share Prices

ROA is a ratio that shows the return on the number of assets used in the company. This ratio can also be used as a reference for projecting future profits. The higher the ROA value, the higher the profits generated and the dividends received by investors will also increase. Increasing high dividends can become a magnet for investors to buy shares, thereby increasing share prices. Based on the results of hypothesis testing showing that ROA has a significant influence on share prices , it can be concluded that the hypothesis is accepted . In this research, it is known that there is a positive influence between the ROA ratio and share prices . This gives a signal that the better the ROA ratio in banking companies will determine the closing price of shares at the end of the year, which, if seen from the perspective of investors, expects profits to increase generated by the company's assets. This is in line with research conducted by Putri Marianti (2020) that bank health and ROA have a positive effect on share prices.

2. The Effect of Non-Performing Loans (NPL) on Stock Prices

NPL is credit in which obstacles occur as a result of two elements, namely from the banking side in analyzing it and from the customer who intentionally or unintentionally does not pay their obligations. In this research, it is known that there is a negative influence between the NPL ratio and share prices. This indicates A high NPL level will result in a decrease in profits received by banks. On the other hand, if the NPL value is low, it indicates that the bank is in good condition, which can trigger high share prices. Based on the results of hypothesis testing showing that NPL has a significant influence on share prices , it can be concluded that the hypothesis is accepted . This is in line with research conducted by Putri Marianti (2020) that the health of banks with NPLs affects share prices

3. The Effect of Capital Adequacy Ratio (CAR) on Stock Prices

CAR is a ratio used to measure the level of banking health through the adequacy of capital used to operate its business. The higher the CAR value, the company's profits can increase, with this investors feel assured in making investment decisions which can later increase the value of the company's shares in the form of an increase in share prices (Indiani, 2016). Based on the results of hypothesis testing showing that CAR has a significant influence on share prices, it can be concluded that the hypothesis is accepted. In this research, it is known that there is a negative influence between the CAR ratio and share prices. This indicates that CAR tends to have an increasing trendline accompanied by a stock price trendline which also tends to increase. This causes a large amount of bank funds to be allocated to overcome the decline in assets caused by credit risk. The focus of fund allocation on covering credit risk losses means banks are unable to expand credit. As a result, banks cannot obtain maximum profits from interest on loans provided, thus affecting investor interest and the CAR ratio is deemed unable to describe the level of profit based on the risks that occur. The results of this research are in line with research by Sumilat and Ivonne (2018) that bank health and CAR have a significant effect on share prices.

4. The Influence of The Bank's Health Level Which is Proxied Into NPL, ROA and CAR has a Simultaneous Effect on Share Prices

According to (Budisantoso, 2014) states that bank health is an important element in banking, a bank in healthy condition is a bank that is able to run its business optimally, so that it can carry out its duties and responsibilities significantly. Healthy banks tend to have a great opportunity to gain investors' trust to make investments. The large demand for shares can trigger an increase in share prices. Based on the results of the F test, it shows that bank health with ROA, NPL and CAR have a simultaneous or joint influence on share prices, so it can be concluded that the hypothesis is accepted.

CONCLUSIONS

Based on the discussion of the tests carried out, it can be concluded as follows:

1. Return on Assets (ROA) has a positive effect on share prices in banks listed on the Indonesia Stock Exchange for the 2019 – 2022 period
2. Non-Performing Loans (NPL) have a negative effect on share prices in banks listed on the Indonesia Stock Exchange for the 2019 – 2022 period
3. Capital Adequacy Ratio (CAR) has a negative effect on share prices in banks listed on the Indonesia Stock Exchange for the 2019 – 2022 period
4. Bank health with ROA, NPL and CAR simultaneously influence share prices in banks listed on the Indonesia Stock Exchange for the 2019 – 2022 period

RECOMMENDATIONS

1. Banks should be able to improve financial performance related to bank health in order to increase company share prices which can attract investors
2. Future researchers can examine other variables that can influence bank share prices, for example company size, profit growth, risk profile.

FURTHER STUDY

This research still has limitations, so it is necessary to carry out further research related to the topic of The Influence of Bank Health Levels on Share Prices in Conventional General Banking Listed on the Indonesian Stock Exchange for the period 2019 – 2022 in order to improve this research and add insight to readers.

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